As with the variety of cryptoassets, exchanges also differ in the capabilities they offer. Some provide derivatives products such as futures contracts, while others specialize in boutique derivatives. For example, a boutique derivative offering by BitMEX was an option on whether the Winklevoss ETF would be approved by the SEC in March 2017. Similarly, margin trading is another functionality to investigate, and not all margin trading is made equal. Some exchanges offer extreme levels of margin trading, like 30 to 1, while others are much more reserved, like 3 to 1. Also referred to as leverage, 30 to 1 margin trading means an investor only has to put down $1,000 to trade with $30,000 of money. While gains can be astronomical, so can losses, and the same applies to derivatives. Some exchanges "socialize losses" for leverage gone wrong because there is no other way the products can be offered.[19] Socializing losses means that all investors on the exchange take a loss for a few investors' foolhardiness.

What Funding Mechanisms Are Available to Open an Account?

Funding mechanisms will dictate whether the innovative investor can use the service to begin with. Investors who already own bitcoin have more options because exchanges will accept a direct transfer of bitcoin that will allow for immediate trading of the cryptoassets offered on the platform. Funding an account with fiat currency typically requires links to bank accounts or credit cards. They will require a more extensive account opening process that may extend over several days